

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 24-12

20230930-DK-BUTTERFLY-1, Inc. f/k/a Bed Bath & Beyond Inc. v.

EVERGREEN LINE JOINT SERVICE AGREEMENT (FMC#011982) consisting of
EVERGREEN MARINE CORP. (TAIWAN) LTD., EVERGREEN MARINE (UK) LIMITED,
ITALIA MARITTIMA SpA, EVERGREEN MARINE (HONG KONG) LTD., AND
EVERGREEN MARINE (SINGAPORE) PTE. LTD.

**COMPLAINANT'S MEMORANDUM IN OPPOSITION TO
RESPONDENTS' MOTION FOR PARTIAL DISMISSAL OF THE COMPLAINT**

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Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“BBBY” or “Complainant”), by and through its undersigned counsel, respectfully submits this Memorandum in Opposition to Respondents Evergreen Line Joint Service Agreement (FMC#011982), Evergreen Marine Corp. (Taiwan) Ltd., Evergreen Marine (UK) Limited, Italia Marittima SpA, Evergreen Marine (Hong Kong) Ltd., and Evergreen Marine (Singapore) Pte. Ltd.’s (collectively, “Evergreen” or “Respondents”) Motion for Partial Dismissal of the Complaint, dated March 18, 2023 (the “Motion”), and states as follows in support of such opposition.

PRELIMINARY STATEMENT

Evergreen’s Motion centers on frivolous jurisdictional arguments that have been thoroughly and unanimously rejected by the full Commission. Evergreen contends that the Commission lacks jurisdiction over Counts I, III and IV of the Complaint because they relate to “alleged breaches of the service contracts entered into between the parties.” Mot. at 2. In advancing its meritless argument, Evergreen deliberately ignores the plain language of the Complaint, which asserts statutory claims under the Shipping Act of 1984, *not* breach of contract claims. The law is absolutely clear that the Commission has jurisdiction over claims brought under the Shipping Act, regardless of whether the conduct relevant to such claims also relates to a breach of contract, as the Commission reaffirmed earlier this year in its unanimous decision in *MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, FMC Dkt. No. 21-05, 2024 WL 95383 (Fed. Mar. Comm’n January 3, 2024). Evergreen’s jurisdictional arguments thus are utterly frivolous and serve merely to waste the time and resources of Complainant and the Presiding Officer. Indeed, because Evergreen’s core jurisdictional arguments are devoid of merit and contrary to clear Commission precedent, the Presiding Officer would be justified in imposing sanctions designed to remind Evergreen of its obligations to refrain from advancing obviously frivolous arguments.

As an afterthought to its frivolous jurisdictional claims, Evergreen also advances thin arguments contending that each of Counts I, III, and IV fail to allege sufficient detail to state a plausible claim for relief. These arguments also fail because the detailed, 29-page Complaint alleges facts that are more than sufficient to state plausible claims for relief under each Count.

LEGAL STANDARDS

The “Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim.” *MCS Industries, Inc. v. Cosco Shipping Lines Co.*, FMC Dkt. No. 21-05, 2022 WL 458569, at *3 (Fed. Mar. Comm’n C.A.L.J. Feb. 4, 2022) (“*MCS I*”) (quoting *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, FMC Dkt. No. 16-16, 2 F.M.C.2d 198, 2020 WL 13512925, at *4 (Fed. Mar. Comm’n 2020)), *aff’d sub nom. MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, FMC Dkt. No. 21-05, 2024 WL 95383 (Fed. Mar. Comm’n Jan. 3, 2024) (“*MCS II*”).¹ “When, as here, jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard applies.” *MCS I*, 2022 WL 458569 at *3 (quoting *MAVL Capital*, 2020 WL 13512925, at *5).

“Under Fed. R. Civ. P. 12(b)(6), the facts alleged are taken as true and all reasonable inferences are drawn in the complainant’s favor.” *Id.* (quoting *MAVL Capital*, 2020 WL 13512925, at *5).

The facts alleged must ‘state a claim to relief that is plausible on its face.’ *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007) The facts alleged must allow the Commission to reasonably infer that respondent may be liable for the conduct alleged and provide ‘*fair notice*’ of the nature of the claims and bases for asserting them.

¹ Although the Commission’s Rules do not explicitly provide for motions to dismiss, Commission Rule 12 states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission’s Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12.

MAVL Capital, 2020 WL 13512925, at *5 (emphasis added). “The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim.” *MCS I*, 2022 WL 458569 at *4 (citation omitted).

Where a party has challenged the Commission’s jurisdiction, “[i]t is elementary law that a tribunal should determine its jurisdiction *before* addressing the merits of a controversy brought before it.” *MCS I*, 2022 WL 458569, at *5 (quoting *Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.*, 29 S.R.R 394, 396, 2001 WL 1632548 (Fed. Mar. Comm’n A.L.J. 2001) (emphasis added)).²

ARGUMENT

I. The FMC Has Jurisdiction Over Counts I, III, and IV of the Complaint and Respondents’ Arguments to the Contrary Should Be Rejected.

Evergreen argues that the Commission has no jurisdiction over Complaint Counts I, III, and IV, *see* Mot. at 5, but in doing so, Evergreen improperly attempts to rewrite Counts I, III, and IV as breach of contract claims. Evergreen’s arguments are meritless, as the Commission has squarely held that claims such as those alleged under Counts I, III, and IV of the Complaint are separate and distinct from breach of contract claims and properly allege claims under the Shipping Act.

A. Respondents Improperly Attempt to Recast Complainant’s Shipping Act Claims as Common Law Breach of Contract Claims.

This Shipping Act dispute arises from allegations that Evergreen systematically and repeatedly failed to meet its service commitments to Complainant and other shippers and instead

² See also *Gov’t of the Territory of Guam v. Sea-Land Serv., Inc.*, 28 S.R.R. 252, 265 (Fed. Mar. Comm’n 1998); *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (Fed. Mar. Comm’n 1999); *NPR, Inc. v. Bd. of Comm’rs of the Port of New Orleans*, 28 S.R.R. 1512, 1519 (Fed. Mar. Comm’n A.L.J. 2000)).

(1) allocated bargained-for space away from shippers with service contracts to other shippers to maximize Evergreen's own profits, (2) coerced higher pricing by forcing Complainant and other shippers to enter into higher priced contracts as a precondition for Evergreen to carry just a fraction of the quantity to which it had already committed, and (3) demanded unreasonable, extra-contractual Peak Season Surcharges ("PSS") and other surcharges in order to carry just a fraction of the cargo for which Complainant and other shippers had already bargained for space. *See, e.g.,* Verified Compl. ¶¶ 5–7, 32–53, 66–71. As a result of this alleged conduct, Complainant and other shippers were either forced to pay Evergreen's increasingly exorbitant demands just to get the space to which Evergreen had already committed in its service contracts with Complainant and other shippers or obtain space on the spot market at enormous expense during a period of unprecedented high spot prices. The Complaint also alleges that Evergreen charged impermissible detention and demurrage charges (the "Charges") when Complainant and its agents were unable to pick up and return containers due to circumstances outside the control of Complainant or its agents. *See id.* ¶ 8.

Each cause of action pleaded in the Complaint arises from alleged violations of the Shipping Act, 46 U.S. Code Sections 40101 *et seq.*, and seeks only statutory remedies specifically provided by the Shipping Act. As relevant here, Counts I, III, and IV:

- Count I of Complainant's Complaint brings a claim ***under 46 U.S. Code Section 41102(c)***, alleging that Evergreen failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, and delivering the property of Complainant and other shippers because Evergreen engaged in a practice "of systematically failing to meet its service commitments to Complainant" pursuant to the Service Contracts between the parties (the "Service Contracts") and, "upon information and belief, other shippers, seeking to coerce Complainant and, upon information and belief, other shippers, to pay PSS and other improper surcharges in order to obtain previously contracted space" *Id.* ¶ 79. This claim alleges unreasonable ***systematic*** practices by Evergreen with respect to the cargo of Complainant ***and other shippers*** that served as means of coercing higher prices from Complainant and other shippers

with Service Contracts and of abandoning service commitments in order to seek more profitable terms.

- Count III brings a claim *under 46 U.S. Code Section 41104(a)(2)*, which prohibits a carrier from providing service in the liner trade that is “not in accordance with the rates, charges, classifications, rules, and practices contained in . . . a service contract” The Complaint alleges that Evergreen’s practices “of systematically failing to meet its service commitments to Complainant, attempting to coerce Complainant to pay PSS and other surcharges just to carry a fraction of the bargained-for volumes of cargo, as well as its bad faith denial of its service commitments, constituted provision of service in the liner trade that was not in accordance with the rules and practices contained in Evergreen’s Service Contracts with Complainant,” *id.* ¶ 83, and further alleges that Evergreen engaged in such conduct not just with Complainant, but with other shippers, as well. *See id.* ¶ 7.
- Count IV brings a claim *under 46 U.S. Code Section 41104(a)(10)*, alleging that Evergreen unreasonably refused to deal or negotiate with Complainant by “systematically failing to meet its service commitments to Complainant and preferring higher-priced carriage from other customers, Evergreen’s assessment of the Charges, or a substantial portion thereof, and the acts or omissions of Evergreen that led to the assessment of the Charges, constituted unreasonable refusals to deal or negotiate with Complainant” *Id.* ¶ 85.

None of Complainant’s causes of action alleges a common law claim for breach of contract or seeks contract-based damages. Nonetheless, Respondents’ Motion ignores the explicitly pleaded statutory basis for each of the claims underlying Counts I, III, and IV, and instead contends that these Counts “are inherently breach of contract claims based upon alleged breaches of the service contracts entered into by the parties.” Mot. at 2.

Respondents cannot simply rewrite Complainant’s allegations to ignore the Shipping Act violations alleged therein.

B. It Is Well Settled that the Commission Has Jurisdiction over the Shipping Act Claims Alleged in the Complaint.

Respondents contend that the Commission lacks jurisdiction over Complainant’s Counts I, III, and IV because they “are inherently breach of contract claims based upon alleged breaches of

the service contracts entered into by the parties”, and, quoting 46 U.S.C. 40502(f), “the exclusive remedy for breach of a service contract is an action in an appropriate court.” Mot. at 2.³

i. The Chief Administrative Law Judge Recently Rejected Similar Arguments in OJ Commerce v. Hamburg Süd.

Ocean carrier Hamburg Süd recently raised the exact same jurisdictional argument in *OJ Commerce v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*. In *OJ Commerce*, which also related to failure to meet a service commitment as well as retaliation against a shipper who threatened Shipping Act claims, ocean carrier Hamburg Süd argued that “the complaint is subject to dismissal because ‘[o]ne of the alleged violations of Section 41102(c) enumerated in the complaint is the failure to fulfill service obligations under a service contract,’ but in actuality Complainant’s allegation represents ‘a claim for a breach of contract, not a claim of a violation of the Act.’” FMC Dkt. No. 21-11, 2022 WL 538935, at *4 (Fed. Mar. Comm’n C.A.L.J. Feb. 18, 2022). The Chief ALJ rejected Hamburg Süd’s argument, holding that “[t]he Commission has an obligation to determine whether an entity has violated the Shipping Act, even when the allegations may constitute both breach of contract claims and claims that the entity violated the Shipping Act.” *Id.* (citing *Baltic Auto Shipping, Inc. v. Hitrinov*, FMC Dkt. 14-16, 33 S.R.R. at 1230, 1232–33 (Fed. Mar. Comm’n A.L.J. Feb 2, 2015)) (Order Denying Request for Stay).

³ Respondents do not appear to dispute that the Commission has jurisdiction over Complainant’s claims concerning improper detention and demurrage charges. *See, e.g.*, Verified Compl. ¶¶ 80–81, 88. In any event, such jurisdiction is well-settled. *See, e.g.*, *Acme Freight Servs. Corp. v. Total Terminals Int’l*, FMC Dkt. No. 22-07, 2022 WL 1772290, at *4 (Fed. Mar. Comm’n C.A.L.J. May 26, 2022) (denying a motion to dismiss because the “complaint alleges that the assessment of demurrage charges during the CBP hold on the Containers was inconsistent with the FMC’s interpretative rule on demurrage and detention found at 46 C.F.R. § 545.5 and Section 41102(c) of the Shipping Act” because such conduct “plausibly alleges a violation of the Commission’s Detention and Demurrage Rule”).

ii. *The Unanimous Commission Recently Rejected Similar Arguments by Affirming the Decision of the Chief Administrative Law Judge in MCS I.*

Earlier this year, in *MCS II*, the full Commission, in unanimously affirming another decision of the Chief ALJ, reaffirmed that the Commission has jurisdiction over Shipping Act claims regardless of whether the conduct alleged might also relate to a breach of a service contract. *See MCS II*, FMC Dkt. No. 21-05, 2024 WL 95383 (Fed. Mar. Comm’n January 3, 2024).

The procedural history of the *MCS II* decision is instructive. In *MCS I*, the complainant brought a case based on a similar fact pattern to this action, claiming (as Complainant does here) that the respondents violated 46 U.S.C. Sections 41102, 41104(a)(2), and 41104(a)(10) by (a) failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, and delivering the property of the Complainant and other shippers under service contracts, (b) providing service in the liner trade that was not in accordance with rates and charges contained in service contracts, and (c) unreasonably refusing to deal or negotiate with the complainant. *See MCS I*, 2022 WL 458569, at *4–7, 9. As in this action, the claims in *MCS I* were predicated on allegations that the respondents there engaged in a practice of favoring higher priced cargo and failing to satisfy their service commitments to both the complainant and other shippers pursuant to established service contracts. *See id.* The respondent moved to dismiss, making identical arguments to the arguments advanced here by Evergreen. The Chief ALJ denied the motion to dismiss, determining that:

[T]he Commission has an obligation to determine whether an entity has violated the Shipping Act, even when the facts alleged may give rise to both breach of contract claims and Shipping Act claims. Allegations in the amended complaint extend beyond allegations of breach of the service contract to allege practices that violate the Shipping Act, such as . . . systematically preferring higher-priced cargo, and coercing surcharges The Commission has an obligation to determine the reasonableness of practices by regulated entities that are alleged to violate the Shipping Act.

Id. at *6 (finding that the complainant had adequately stated a claim under 46 U.S.C. § 41102(c) regarding the receiving, handling, storing, or delivering of property based on claims of favoring higher priced cargo) (emphasis added).

The respondent in *MCS I* and *II*, another major ocean carrier, challenged the Chief ALJ’s jurisdictional rulings in exceptions submitted to the full Commission after the Chief ALJ entered a decision on default against the respondent, again advancing the same arguments advanced here by Evergreen. *See* Dkt. No. 21-05, Doc. 65 (respondent’s Exceptions) at 26–36 (arguing, over ten pages, that the Commission lacked jurisdiction based on the same arguments Evergreen advances here). **All five commissioners unanimously** affirmed the Chief ALJ’s jurisdictional determination. *MCS II*, 2024 WL 95383 at *6 (“The ALJ’s ultimate conclusions as to jurisdiction and the adequacy of MCS’s claims are affirmed.”).⁴

iii. Evergreen’s Arguments Regarding Jurisdiction are Fatally Flawed in Light of These Recent Decisions and Longstanding Commission Precedent.

Respondents’ Motion relies on the exact same hoary argument advanced unsuccessfully in *OJ Commerce* and *MCS I* and *II* and fails for the same reasons. As Evergreen acknowledges, the Commission has provided a test for determining “whether a complainant’s allegations are inherently a breach of contract claim or whether they also involve elements peculiar to the Shipping Act.” Mot. at 5–6 (quoting *Cargo One, Inc. v. COSCO Container Lines, Co.*, FMC Dkt. No. 99-24, 28 S.R.R. 1635, 2000 WL 1648961, *14 (Fed. Mar. Comm’n 2000)). Even though *Cargo One* is cited in Evergreen’s Motion, Evergreen entirely fails to engage with the second prong of the *Cargo One* test, which states: “where the alleged violation raises issues beyond contractual

⁴ Although *MCS I* came before the Commission on appeal following a decision on default, the Commission in *MCS II* upheld jurisdiction by turning to the merits of the underlying motion to dismiss. *Id.* at *7 (“[a]s to the **substance** of the jurisdictional question, the ALJ’s Decision [in *MCS I*] is well-reasoned and is affirmed.”) (emphasis added).

obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.” *Cargo One*, 2000 WL 1648961 at *14. Evergreen’s oversight is telling, because the second prong of *Cargo One* defeats Evergreen’s argument here. In fact, in the *MCS I* case, the Chief ALJ applied the *Cargo One* test to essentially identical allegations as in the instant case and determined that the complaint there validly stated Shipping Act claims as distinguished from breach of contract claims. *See MCS I*, 2022 WL 458569, at *5 (discussing and applying *Cargo One* to find jurisdiction over alleged Shipping Act claims where the same allegations were concurrently amenable to supporting breach of contract claims).

Accordingly, it is well settled that the Commission has jurisdiction to adjudicate Shipping Act claims, even if such claims involve conduct that could *also* be relevant to a breach of contract claim. *MCS I*, 2022 WL 458569, at *5–6 (collecting cases and noting that “Commission precedent holds that *even when there is litigation between the parties in other courts* [which is not the case here], the Commission has an obligation to determine whether an entity has violated the Shipping Act”) (emphasis added); *see also Bed Bath & Beyond Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, FMC Dkt. No. 23-02, 2023 WL 6391710 (Fed. Mar. Comm’n C.A.L.J. Sep 28, 2023), at *7 (“The Commission has an interest in ensuring that service contracts are used in a manner that complies with the Shipping Act and the Commission’s regulations, so that it can be certain that the public and the shipping industry are protected.”) (quoting *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 2006 WL 2007808, at *7 (Fed. Mar. Comm’n 2006)). Further, the fact that Complainant had Service Contracts with Respondents does not change the statutory nature of Complainant’s claims or preclude Complainant from bringing such claims. To the contrary, the existence of a service contract is a *prerequisite* to Complainant’s Section 41104(a)(2) claim. The Commission is thus the

appropriate *and exclusive* venue for the Shipping Act claims alleged in this action, and the Presiding Officer and Commission can and must decide the merits of those claims. *See Anchor Shipping Co.*, 2006 WL 2007808, at *10–11 (stating that the existence of a contract claim or disposition “cannot prohibit the Commission from exercising its statutory obligations”).

Consistent with the recent holdings in *OJ Commerce* and *MCS I* and *II*, 46 U.S. Code Section 41301 provides for private causes of action for alleged violations of the Shipping Act, and 46 U.S. Code Section 41305 authorizes the Commission (and its Administrative Law Judges) to award reparations, interest, and attorneys’ fees to a prevailing party in connection with such violations. The Commission has long drawn a distinction between breach of contract claims and claims alleging violations of the Shipping Act, and has noted that the Commission holds independent jurisdiction over the latter while courts hold jurisdiction over the former:

Although the complainant in this case has already obtained an arbitration award relating to certain breach of contract allegations, the Commission is obligated to hear those allegations particular to the Shipping Act, which is consistent with our statutory mandate. Federal and Commission caselaw support the proposition that Anchor may still seek reparations before the Commission. Arbitration is binding on the parties as to breach of contract claims, but it cannot prohibit the Commission from exercising its statutory obligations. The Commission’s obligation to ensure the legality of service contracts is of paramount importance . . . ***Because alleged Shipping Act violations are intertwined with breach of contract issues in the present case, such matters must be resolved before the Commission.***

Anchor Shipping, 2006 WL 2007808, at *10–11 (emphasis added).

iv. *The Commission Has Exclusive Jurisdiction over Complainant’s Shipping Act Claims, Which Could Not Be Brought in Any Other Venue.*

It is well settled that “[t]he Commission has *exclusive jurisdiction* to administer and enforce the 1984 [Shipping] Act. Violations of the 1984 [Shipping] Act can be rectified only by the sanctions and remedies provided for in that Act.” *Unpaid Freight Charges*, 58 Fed. Reg. 7190-02, 1993 WL 24805 (Fed. Mar. Comm’n Feb. 5, 1993) (emphasis added); *accord Baltic Auto Shipping, Inc. v. Hitrinov*, FMC Dkt. No. 14-16, slip op. at 5 (Fed. Mar. Comm’n A.L.J. Feb. 2,

2015). Federal courts agree. *Mediterranean Shipping Co. USA Inc. v. AA Cargo Inc.*, 46 F. Supp. 3d 294 (S.D.N.Y. 2014) (“[T]he Shipping Act does not provide for a private cause of action in federal district court; rather, alleged violations of the Shipping Act must be addressed with the Federal Maritime Commission.”); accord *MAVL Capital, Inc. v. Marine Transp. Logistics, Inc.*, 130 F. Supp. 3d 726, 731 (E.D.N.Y. 2015) (collecting cases and dismissing Shipping Act claims).⁵

Although 46 U.S. Code Section 40502(f) provides that the venue for a claim for breach of contract ***brought under the common law*** would lie in court and not before the Commission, the Commission has long recognized that the Shipping Act provides different legal theories and remedies than a breach of contract claim, and Shipping Act claims “are not addressed in actions for breach of contract and no remedy for such violations would be provided in a breach of contract action.” *Cargo One*, 2000 WL 1648961, at *15 (determining that the ALJ should have considered Shipping Act claims).

C. Respondents’ Jurisdictional Arguments Are Frivolous and Abusive.

As discussed above, Respondents’ jurisdictional arguments are irreconcilable with established precedent and the plain language of the Shipping Act.

⁵ Evergreen’s reliance on *Global Link Logistics* is also misplaced. See Mot. at 8–9 (quoting *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, FMC Dkt. No. 13-07, 33 S.R.R. 512, 2014 WL 5316345, at *20, 30 (Fed. Mar. Comm’n A.L.J. April 17, 2014)). The allegations at issue in *Global Link Logistics* are readily distinguishable from the case at bar because those allegations, unlike those here, involved alleged conduct by the respondent that related not to systematic conduct but to its dealings with the complainant specifically. See, e.g., *Global Link Logistics*, 2014 WL 5316345, at *18 (analyzing, and finding in the negative, whether complainant validly alleged a Shipping Act violation under section 41104(a)(10) where respondent refused to renegotiate terms of the parties service contract), *20 (finding no jurisdiction over claims that respondent violated contractual duties specific to complainant according to the parties’ “course of dealing in [] earlier service contracts”), *23 (finding complaint failed to state a claim under Section 41104(a)(3) of the Shipping Act where respondent allegedly quoted and charged higher rates in complainant’s service contract than respondent charged in its service contracts with other shippers), *29 (finding complaint failed to state a claim under Section 41102(c) of the Shipping Act where respondent allegedly charged rates higher than those provided for in the parties’ service contract and included an unbalanced liquidated damages clause in the same service contract).

Moreover, the Commission’s jurisdiction over the four causes of action alleged in the Complaint is so well-established as to be beyond cavil:

- As to Count I, as the Chief ALJ recently held in *MCS I* (later affirmed by the Commission in *MCS II*) and *OJ Commerce*, the Commission has jurisdiction over a 46 U.S. Code Section 41102(c) Shipping Act violation even where a complainant may also have a separate breach of contract claim arising from the same conduct.
- As noted in footnote 3 above, Respondents do not appear to challenge the Commission’s jurisdiction over Count II, which relates to detention and demurrage charges.
- Respondents’ challenge to Count III’s 46 U.S. Code Section 41104(a)(2) claim was also addressed in *MCS I*, where the Chief ALJ specifically rejected the notion that 46 U.S. Code Section 40502(f) serves as a bar to claims under Section 41104(a)(2) based on a carrier’s failure to operate in accordance with a filed service contract. *See MCS I*, 2022 WL 458569 at *7. The Chief ALJ in *MCS I* reasoned that “the Shipping Act requires common carriers to abide by the terms of their published tariffs and service contracts” and a corresponding Shipping Act claim can stand before the Commission where a “complaint does not allege a breach of the service contract but rather that Respondent’s rules and practices violated the Shipping Act.” *Id.* at *7. The Commission affirmed this reasoning in *MCS II*. *See MCS II*, 2024 WL 95383, at *7. There is simply no basis for an argument that Section 40502(f) deprives the Commission of jurisdiction over Complainant’s Section 41104(a)(2) claim, because such an overbroad reading of Section 40502(f) would effectively read Section 41104(a)(2) (and other provisions of Section 41104 predicated on service pursuant to a service contract) out of the Shipping Act entirely.
- As to Count IV’s 46 U.S. Code Section 41104(a)(10) refusal to deal claim, the Chief ALJ in *MCS I* rejected the argument that such a claim was “inherently a breach of contract claim” and found that allegations that a carrier refused to satisfy service commitments as a means of extracting additional fees from a shipper constitutes an independent Shipping Act violation under Section 41104 rather than a mere breach of contract claim. *MCS I*, 2022 WL 458569, at *9; *see also MCS II*, 2024 WL 95383, at *7 (affirming *MCS I* jurisdictional analysis). Here, the Complaint alleges that “Evergreen’s practices alleged herein of systematically failing to meet its service commitments to Complainant and preferring higher-priced carriage from other customers, Evergreen’s assessment of the Charges, or a substantial portion thereof, and the acts or omissions of Evergreen that led to the assessment of the Charges, constituted unreasonable refusals to deal or negotiate with Complainant” Verified Compl. ¶ 85.

Because each and every element of Evergreen’s jurisdictional argument is meritless and contrary to clear Commission precedent, it appears that Evergreen did not file its motion in good

faith, but rather to delay this proceeding and waste the time and resources of Complainant and the Presiding Officer. The Commission and its ALJs have the authority to impose sanctions on parties who act in bad faith to delay or otherwise interfere with proceedings before the Commission. *See Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, FMC Dkt. No. 15-04, 2018 WL 2113084, *7 (Fed. Mar. Comm’n May 2, 2018) (“Like other federal tribunals, the Commission also has inherent authority to control the proceedings and sanction misconduct when appropriate.”) (citing cases). Complainant submits that an interim award of attorneys’ fees, based on the hours spent opposing Evergreen’s Motion multiplied by the standard billing rates of Complainant’s counsel, would be an appropriate sanction for Evergreen’s frivolous Motion.

II. Respondents’ Arguments Regarding the Sufficiency of the Pleadings as to Counts I, III, and IV Fail.

Perhaps recognizing that the core jurisdictional arguments advanced in “Point I” of its Motion are frivolous, Evergreen attempts to buttress its Motion by advancing flimsy arguments (*i.e.*, “Points II, III and IV”) that Counts I, III, and IV are not pleaded in sufficient detail to state a plausible claim. Complainant’s allegations are plainly adequate to state a claim, and Respondents’ Points II, III and IV must accordingly be rejected.

As a general matter, each of Points II, III, and IV of Evergreen’s Motion inappropriately asserts new, countervailing, factual inferences from the Complaint’s allegations that ignore the well-settled standard of review as to motions brought pursuant to Federal Rule 12(b)(6). *See MCS I*, 2022 WL 458569 at *4 (“Under Fed. R. Civ. P. 12(b)(6), the facts alleged are taken as true and all reasonable inferences are drawn in the complainant’s favor.”) (quoting *MAVL Capital Inc., v. Marine Transport Logistics, Inc.*, FMC Dkt. No. 16-16, 2 F.M.C.2d 198, 2020 WL 13512925, at *5 (Fed. Mar. Comm’n 2020)). Evergreen also misleadingly focuses on certain allegations in

isolation, while ignoring other supporting allegations that, taken together, sufficiently allege each of the elements of each claim.

For these and other reasons detailed below, the Presiding Officer must reject each of the Motion's Points II, III, and IV and deny the Motion.

A. The Complaint Pleads Sufficient Facts to State a Plausible Claim in Count I for Relief Under 46 U.S.C. § 41102(c) of the Shipping Act.

Evergreen advances four arguments that the Complaint fails to make sufficient factual allegations to establish Complainant's Count I claim that Respondents failed to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering of property in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4, *see* Mot. at 10–15, each of which fails:

First, Evergreen argues that “the Complaint fails to identify what practices or regulations (other than Respondents’ alleged breach of the Service Contracts) Complainant alleges were unfair or unjust.” Mot. at 11. Evergreen apparently failed to read Paragraph 43 of the Complaint, which specifically alleges numerous practices in addition to service contract breaches that Evergreen undertook in violation of 46 U.S.C. § 41102(c), such as:

- Evergreen’s “systematic practice of . . . failing to fulfill its space commitments to Complainant”, Verified Compl. ¶¶ 40–41;
- Evergreen’s conduct having occurred as “part of a practice by Evergreen of preferring higher-priced freight”, Verified Compl. ¶¶ 40–41;
- The fact that Evergreen’s conduct allowed it “to obtain wildly inflated spot market prices for its cargo space instead of the agreed (and still profitable to Evergreen) rates for carriage that Evergreen had already committed to providing under its Service Contracts with Complainant”, *id.* ¶ 43; and
- The fact that Evergreen undertook such conduct, upon information and belief, not only against Complainant but also “under its service contracts with other shippers.” *Id.*

These practices are virtually identical to those that the Commission has previously held to constitute a valid basis for a claim under 46 U.S.C. § 41102(c). *See MCS I*, 2022 WL 458569 at *6 (“Allegations in the amended complaint extend beyond allegations of breach of the service contract to allege practices that violate the Shipping Act, such as failing to maintain or provide booking reports, systematically preferring higher-priced cargo, and coercing surcharges.”).⁶ At bottom, Evergreen’s conduct is alleged to be unreasonable because it occurred as part of a wide-ranging practice of capitalizing on external events to ignore its own service commitments to Complainant and other shippers and instead engage in profiteering and impose unjust and unreasonable prices, surcharges, and penalties. Such allegations more than satisfy Complainant’s pleading burden as to Evergreen’s “unfair and unjust” conduct.

Second, Evergreen argues that “the Complaint fails to allege facts to support the requirement that the ‘claimed acts or omissions of the regulated entity are occurring on a normal, customary and continuous basis.’” Mot. at 12 (quoting 46 C.F.R. § 545.4(b)). Evergreen’s argument is meritless, as the Complaint includes numerous factual allegations that plausibly support a conclusion that the acts or omissions complained of are or were occurring on a “continuous basis.” Mot. at 12; *see* Verified Compl. ¶¶ 35–40 (alleging email communications throughout the 2020–2021 and 2021–2022 shipping years in which Complainant alerted Evergreen to service commitment shortfalls, “hoping Evergreen would take measures to honor its service commitments, but to no avail”). As with the other allegations highlighted by Evergreen, the Chief ALJ and Commission have held that similar allegations meet the pleading standard for stating a

⁶ Indeed, the International Monetary Fund found that such actions contributed to a 2% increase in global inflation, underscoring the negative impact of Evergreen’s (and other carriers) conduct on the shipping industry as a whole, *i.e.*, the very issues to which the Shipping Act is addressed. *See* Verified Compl. ¶ 11.

claim under 46 U.S.C. § 41102(c). *See MCS I*, 2022 WL 458569 at *6; *MCS II*, 2024 WL 95383, at *7. Evergreen also raises inappropriate factual arguments at the motion to dismiss stage by arguing that the alleged misconduct occurred during the COVID-19 pandemic and thus “occurred at a time when Respondents faced unprecedented challenges.” Mot. at 12.

Third, Evergreen argues that the Complaint “offers only conclusory statements” in support of the element that the alleged “practice or regulation is unjust or unreasonable.” Mot. at 13 (quoting 46 C.F.R. § 545.4(d)). Evergreen then proceeds to argue why it believes its alleged conduct was reasonable under the circumstances, while also ignoring the Complaint’s well-pled allegations as to the unjustness and unreasonableness of Evergreen’s conduct. For example, Evergreen asserts that its alleged conduct was *in fact* reasonable because, as the Complaint alleges, *other* carriers acted similarly “under similar circumstances.” *Id.* at 13; *see also id.* at 14 (“Complainant alleges similar Shipping Act claims against other carriers arising during the same time period which are presently pending before the FMC. ***This fact alone establishes*** that other carriers, according to Complainant, conducted themselves in a similar manner during the COVID-19 pandemic.”) (emphasis added). Essentially, Evergreen seeks a ruling ***as a matter of law*** that if ***multiple*** carriers engage in the same alleged misconduct (itself a fact-intensive question), then such conduct could never form the basis for a Shipping Act violation. Evergreen fails to support its specious assertion, which is facially illogical in light of *Intermodal Motor Carriers Conference, v. OCEMA, et al.*, where the Commission affirmed as unreasonable under 46 U.S.C. § 41102 the practice of numerous major ocean carriers of designating exclusive chassis providers for port-to-port moves. FMC Dkt. 20-14, 2024 WL 641501, at *44 (Fed. Mar. Comm’n February 13, 2024). As *Intermodal* demonstrates, a practice may be unreasonable regardless of whether multiple members of the ocean shipping industry have adopted it.

In addition to relying on a fundamentally flawed “everyone else is doing it, too” rationale, Evergreen’s request is premature, where, at this stage of proceedings, the Presiding Officer must take the Complaint’s allegations as true, and Evergreen conflates questions of law and fact that are impossible to resolve prior to full discovery and fact finding by the Presiding Officer. *See MCS I*, 2022 WL 458569 at *4 (“The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim.”) (citation omitted).

As to the Complaint itself, as reflected by Evergreen’s conduct vis-à-vis Complainant specifically, *see* Verified Compl. ¶¶ 48–52, the Complaint alleges that Evergreen’s conduct of exploiting shippers, in part by coercing shippers to agree to extraordinary and extra-contractual pricing, was widespread and systemic. *See id.* ¶ 53. The Complaint alleges, moreover, that Evergreen’s exploitative conduct, in addition to contributing to a 2% rise in global inflation, *see id.* ¶ 11, led to **record profits**, belying Evergreen’s self-serving claim that it was “required” to raise prices due to port congestion. *See id.* ¶ 10.⁷ Again, the Chief ALJ and the Commission have previously held that essentially the same allegations as to this element as included in the Complaint are sufficient to allege a Shipping Act violation. *See MCS I*, 2022 WL 458569 at *5–6 (finding allegations that respondent ocean carrier “fail[ed] to maintain or provide booking reports, systematically prefer[ed] higher-priced cargo, and coerc[ed] surcharges” plausibly alleged

⁷ *See also* “Evergreen Released a Historic Annual Report: Profits Soared 9 Times,” Xinde Marine News (Mar. 16, 2022), <https://www.xindemarinenews.com/m/view.php?aid=37011> (last visited Apr. 2, 2024). “Courts may take judicial notice of newspaper articles ‘to indicate what was in the public realm at the time, not whether the contents of those articles were in fact true.’” *See Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, FMC Dkt. No. 17-07, 1 F.M.C.2d 29, 2018 WL 1942720, *8 (Fed. Mar. Comm’n A.L.J. April 17, 2018) (quoting *Bernak ex rel. All. Premier Growth Fund v. All. Capital Mgmt. L.P.*, 435 F.3d 396 (3d Cir. 2006)).

violations of the Shipping Act under 46 U.S.C. § 41102(c)); *MCS II*, 2024 WL 95383 at *7 (affirming same).

Finally, Evergreen argues that the Complaint fails to adequately allege causation. *See* Mot. at 15 (quoting 46 C.F.R. § 545.4(e)). On the contrary, the Complaint specifically and adequately alleges that Evergreen was the proximate cause of Complainant’s claimed losses, for example:

- “Evergreen’s behavior has caused significant harm to Complainant in numerous ways, such as causing delays in freight transportation, appropriating scarce resources for ocean freight expenses, causing uncertainty and scarcity within the business, and disrupting Complainant’s ability to operate and ensure the timely availability of merchandise for sale to U.S. customers, and resulting in injuries, including lost profits, in an amount to be determined at trial.” Verified Compl. ¶ 72;
- “Evergreen’s practices of systematically failing to meet its service commitments to Complainant has directly and proximately injured Complainant by forcing Complainant to make alternate transportation arrangements for cargo that was supposed to be carried by Evergreen pursuant to the terms of the Service Contracts at substantially higher prices or forgo shipping such cargo altogether.” *Id.* ¶ 86.

Evergreen’s argument amounts to advancing *its own preferred narrative* as to causation, and disputed issues of fact obviously cannot be resolved on a motion to dismiss. Evergreen cannot escape that its own statements, which repeatedly raise factual disputes rather than focusing on any alleged insufficiency of pleading, demonstrate why its requested relief is, at best, premature. *See, e.g.*, Mot at 15 (“*In fact*, it was the COVID-19 pandemic, the resulting turmoil throughout the industry and the effective reduction in market capacity, that was the proximate cause of any claimed loss by Complainant.”) (emphasis added). Because it is not appropriate at this stage for the Presiding Officer to make factual findings, Evergreen’s arguments must be rejected.

B. The Complaint Pleads Sufficient Facts to State a Plausible Claim in Count III for Relief Under 46 U.S.C. § 41104(a)(2)(A) of the Shipping Act.

In a misguided effort to dismiss Count III, which alleges that Evergreen’s practices of systematically failing to meet its service commitments to Complainant, attempting to coerce Complainant to pay PSS and other surcharges just to carry a fraction of the bargained-for volumes

of cargo, as well as its bad-faith denial of its service commitments, constituted provision of service in the liner trade that was not in accordance with the rules and practices contained in Evergreen's Service Contracts with Complainant in violation of 46 U.S.C. § 41104(a)(2)(A), Evergreen again cites 46 U.S.C. § 40502(f) and argues that Count III of the Complaint is based on an alleged breach of contract. *See* Mot. at 15–16. Evergreen merely repeats the same baseless arguments advanced in Point I, which fail for the same reasons discussed above, *i.e.*, that the Commission has previously and repeatedly found allegations virtually the same as those in the Complaint regarding Count III adequately allege Shipping Act violations, regardless of whether they are also susceptible to separate and distinct breach of contract claims. *See* Section I above & *MCS I*, 2022 WL 458569 at *7 (finding a complaint's allegations that respondent ocean carrier's "actions were not in accordance with the rates, charges, classifications, rules, and practices contained in the parties' service contract" properly alleged that respondent ocean carrier's "rules and practices violated the Shipping Act" and thus alleged a plausible violation of 46 U.S.C. § 41102(a)(2)(A)); *MCS II*, 2024 WL 95383 at *7 (affirming same); *compare with, e.g.*, Verified Compl. ¶¶ 47–53, 70–71 (alleging facts as to Section 41104(a)(2)(A) violation).

C. The Complaint Pleads Facts to State a Plausible Claim in Count IV for Relief Under 46 U.S.C. § 41104(a)(10) of the Shipping Act.

Finally, as to the 46 U.S.C. § 41104(a)(10) "refusal to deal" allegations underlying Count IV, Evergreen argues that the Complaint, "fails to contain factual allegations to support the statutory requirement that the carrier 'unreasonably refuse[d] to deal or negotiate' with Complainant." Mot. at 18. As an initial matter, as with the rest of Evergreen's arguments as to the sufficiency of the Complaint's allegations, the Chief ALJ and Commission have previously found claims under 46 U.S.C. § 41104(a)(10) were well-pled on similarly alleged facts. *See MCS I*, 2022 WL 458569 at *9 (finding Complaint allegations of complainant's specific attempts to book

shipments and respondent ocean carrier's delayed responses or failures to book respondent's shipments plausibly alleged a violation of 46 U.S.C. § 41104(a)(10)); *MCS II*, 2024 WL 95383 at *7 (affirming same). The Complaint here similarly states a valid claim for relief under 46 U.S.C. § 41104(a)(10) for purposes of a motion to dismiss. *See, e.g.*, Verified Compl. ¶ 67 (alleging that "when Complainant or its agents actually sought to book the space for which Complainant had contracted, Complainant was unable to secure the space due to Evergreen's practices alleged herein of refusing to deal with Complainant pursuant to the Service Contracts in favor of more expensive freight by selling Complainant's bargained-for space to other shippers who agreed to pay higher prices.").

Additionally, Evergreen yet again relies on inappropriate assertions of disputed issues of fact that cannot support a motion to dismiss. *See, e.g.*, Mot. at 18 (arguing that "Respondents did, *in fact*, negotiate with the Complainant") (emphasis added). Evergreen compounds its error, explicitly asking the Presiding Officer to make a factual determination that, because Evergreen entered into Service Contracts with Complainant and agreed to amend those same contracts, that "*mere fact* . . . belies the contention that [Evergreen] 'unreasonably refuse[d] to deal or negotiate' with Complainant." *Id.* at 18–19 (emphasis added). In doing so, Evergreen ignores that, as alleged, these same "negotiations" served as the venue through which Evergreen sought to coerce Complainant into agreeing to higher rates to carry Complainant's already-contracted-for space. *See id.* at 19–20 (quoting Verified Compl. ¶¶ 48–50, 52) (detailing Evergreen employees' acknowledgment of Evergreen's allocation shortfalls and implied unwillingness to provide space allocation unless Complainant agreed to new rate increases in line with Evergreen's other customers: "[r]ight now there are many accounts requesting increases ranging from \$1200–\$2000 voluntary till the end of December 2020. There are also some Top 500 accounts pushing Taipei for

FAK levels + \$1000 for their rates”, “[t]here is no rate that is required (you have rates in the contract) but most people are taking \$7–8000 premiums to the West Coast currently to really stay below market level but above the older signing levels”). Evergreen also conveniently ignores the Complaint’s allegations that during the time period in question Evergreen saw enormous profits (*i.e.*, from \$1.6 billion in 2020 to \$10.8 billion in 2022 and \$12.99 billion in 2023). *See* Verified Compl. ¶ 10. Evergreen cannot rely on unsupported contrary factual contentions to support a motion to dismiss. Accordingly, the Complaint more than sufficiently alleges a claim under 46 U.S.C. § 41104(a)(10), and Evergreen’s Motion should be denied.

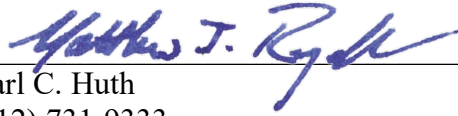
CONCLUSION

For the reasons stated above, Complainant respectfully requests that the Presiding Officer deny Respondents’ Motion for Partial Dismissal of the Complaint. Moreover, since the core of Respondents’ Motion centers on frivolous and bad-faith jurisdictional arguments, Complainant respectfully requests that the Presiding Officer consider imposing an appropriate sanction to deter Respondents from further frivolous, abusive or delaying conduct in this proceeding.

Dated: April 2, 2024

Respectfully submitted,

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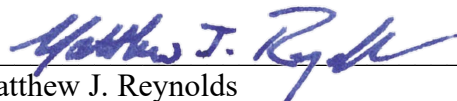
Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondents Evergreen Line Joint Service Agreement (FMC#011982), Evergreen Marine Corp. (Taiwan) Ltd., Evergreen Marine (UK) Limited, Italia Marittima SpA, Evergreen Marine (Hong Kong) Ltd., and Evergreen Marine (Singapore) Pte. Ltd. by emailing copies of those documents to their counsel of record listed below:

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Dated: April 2, 2024



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